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PRESIDENT'S VISIT TO REYKJAVIK

OCTOBER 10 - 12, 1986

OVERALL BRIEFING BOOK

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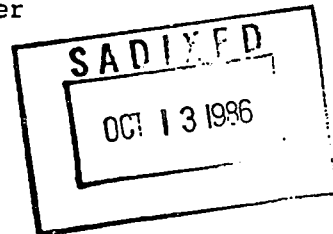
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Morning Session

Afternoon Session

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Morning Session

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DEPARTMENT OF STATE
APPEALS REVIEW PANEL, DATE: 10/13/86
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SCHEDULE

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PRESIDENT'S VISIT TO REYKJAVIK
October 9-12, 1986

Annotated Agenda

THURSDAY, OCTOBER 9

9:30 a.m. President departs White House.
7:05 p.m. Arrive Iceland (Brief Arrival Ceremony)
(local time)
8:05 p.m. Arrive Ambassador's Residence

FRIDAY, OCTOBER 10

Morning Briefings, consultations and private time.
12:30 p.m. Briefing lunch at Residence.
Afternoon Briefings, consultations, and private time.
5:00- Courtesy meetings with GOI President, Prime
5:30 p.m. Minister, Foreign Minister
Evening Private dinner at Residence.

SATURDAY, OCTOBER 11

10:30 a.m.- First plenary session. Emphasis: Overview,
12:30 p.m. including []
At Hofdi House.

This is the first formal meeting and both sides
will wish to stress their preferred agendas.

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1:00-

2:00 p.m.

Briefing lunch. At Residence.

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3:30-
5:30 p.m.

Second Plenary Session. [

] At Hofdi House.

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Evening

Private dinner at Residence.

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SUNDAY, OCTOBER 12

11:00 a.m. Third Plenary Session. Emphasis: Wrapup.
1:00 p.m. At Hofdi House.

1:00- Private lunch. At Residence.
2:00 p.m.
3:30 p.m. Farewell ceremony at Keflavik.
3:45 p.m. Depart Iceland.
5:50 p.m. Arrive at Andrews.
6:05 p.m. Arrive at White House.

ICELAND

FRIDAY, OCTOBER 10

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SCENE SETTER

MEETING WITH ICELANDIC PRESIDENT VIGDIS FINNBOGADOTTIR AND
PRIME MINISTER STEINGRIMUR HERMANNSSON

Setting

- You will meet for a brief courtesy call with President Finnbogadottir, Prime Minister Hermannsson and Foreign Minister Mathiesen. All Icelandic participants speak English.
- Mrs. Finnbogadottir was elected to the largely ceremonial post of President in 1980 and was re-elected in 1984 without opposition. Prime Minister Hermannsson, a member of the Progressive Party, is the head of a center-right coalition that came into office following elections in 1983. New elections are scheduled to be held no later than the spring of 1987. Foreign Minister Mathiesen is a member of the senior coalition partner, the Independence Party.
- The government has turned around a long period of poor economic performance. Inflation has been brought down to a projected 10% this year from a high three years ago of 80%. Unemployment is negligible and real economic growth for this year is projected at 3.5%.
- Although there is a strong tradition of isolationism and support for a neutralist foreign policy, Icelandic support for NATO has strengthened in recent years.
- You will want to thank the Icelandic government for its many efforts to make the meetings with Gorbachev a success. Other possible discussion topics include East-West relations and bilateral issues, such as the military cargo transport treaty and civil aviation. The Icelanders are not expected to pursue any substantive issues in detail during your courtesy call.

TALKING POINTS

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SUGGESTED TALKING POINTS FOR
THE PRESIDENT'S MEETING WITH PRESIDENT FINNBOGADOTTIR
AND PRIME MINISTER HERMANNSSON

GENERAL: --

BILATERAL
ISSUES --

EAST-WEST
RELATIONS: --

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NATO: -- --

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BACKGROUND PAPER

BACKGROUND PAPER

ICELAND

ICELAND is one of Europe's smallest and least populated nations, with only 240,000 people. Nearly one-half the population is found in the capital of Reykjavik. Iceland is a NATO member, but it has not joined the European Economic Community. However, due to its shared heritage, culture and similar language with other Nordic states, it is a member of the Nordic Council. Iceland has a very high standard of living, comparable to other Northern European states. Icelanders are very nationalistic and sensitive to any impression that they are being treated in a less than equal manner.

During World War II Iceland was occupied first by U.K. forces and later by the U.S. in order to prevent this strategically located island from falling into the hands of Nazi Germany. Icelanders are particularly proud of their sacrifices during the war and point out that they had one of the highest per capita mortality rates of any ally.

Following the war, Iceland became a charter member of NATO. In 1951, NATO requested that the U.S. and Iceland make arrangements for the defense of Iceland and the NATO area. The U.S.-Icelandic Defense Treaty was signed, providing a framework for the establishment of a base and the stationing of U.S. military forces. Today there are approximately 3,000 American military personnel in Iceland from all four services along with 2,000 dependents. The forces are under the command of a U.S. Navy Rear Admiral and are referred to as the Icelandic Defense Force (IDF). Iceland has no military forces of its own; however, there is a Coast Guard which is part of the Ministry of Justice.

Our largest defense facility is at Keflavik, headquarters of the IDF; it is co-located with the international airport. There are several communication and radar facilities at other locations. The United States does not pay any compensation for the use of Keflavik or other sites. Although the 1951 Defense Agreement is subject to review by either side at any time, there is no requirement for periodic renewal.

Iceland's political spectrum ranges from conservative to far-left, including a small but active Communist party.

[] there have been a number of contentious and complex bilateral issues over the last three years that strained overall relations. These issues include a 2-1/2 year-long dispute over the transport of military cargo to and from Keflavik, whaling, civil aviation and various base-related matters. [] these issues

[] are central to Iceland's foreign policy and receive intensive attention from the public, media and Parliament. Progress has been slow and difficult on all these matters, although they now seem to be heading for resolution. The most persistent and politically dangerous of the disputes has been the military cargo transport issue.

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In 1984, a newly formed American company availed itself of the monopoly rights under the 1904 Cargo Preference Act for the carriage of military cargo and largely displaced two Icelandic lines which had carried all cargo for the previous 14 years. Intensive efforts to resolve the matter between 1984 and 1986 were unsuccessful. Earlier this summer, the Icelanders threatened unilateral legislation that would have denied entry to Icelandic ports for U.S. military cargo ships if the transport had not been subject to competitive bidding. This was averted by the negotiation and subsequent September 24 signing of a Treaty providing a unique exemption to the 1904 Cargo Preference Act for the Keflavik route so that competitive bidding can occur between U.S. flag vessels and Icelandic lines. The Treaty has been submitted to the Senate for its advice and consent.

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The other major bilateral issue was a dispute over Iceland's whaling program. The U.S. position was a result of legislation (the Pelly Amendment) that calls for sanctions against nations which undermine international fisheries agreements. Although a compromise was reached, the issue left a strong impression among Icelanders of U.S. insensitivity and interference in their domestic affairs. The matter will almost certainly be reopened at the 1987 International Whaling Convention meeting. The importance of the dispute is made clear by Iceland's heavy dependence on its fisheries sector for exports -- nearly 80% in 1985. The U.S. is Iceland's largest market for fish, with approximately \$200 million worth of imports last year.

Like most other Western European nations, Iceland's economy went through a very difficult period in the late 1970s and early 80s. However, the present government has made remarkable strides in bringing inflation under control -- down from 80% three years ago to an expected 10% this year. Unemployment remains negligible, while real economic growth is expected to reach 3.5% for 1986. This good news will help strengthen the position of the Independence Party in elections, which are scheduled to take place no later than next spring.

SATURDAY, OCTOBER 11

SCENE SETTER
(Morning)

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REGIONAL AFFAIRS

GENERAL
REGIONAL
ISSUES

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IN MID EAST

IRAN-IRAQ
WAR

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TERRORISM

SOUTHERN
AFRICA

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- 4 -

CENTRAL
AMERICA

EAST ASIA
PACIFIC

SECRET/SENSITIVE

SECRET/SENSITIVE

- 5 -

AFGHANISTAN

SECRET/SENSITIVE

BILATERAL ISSUES

SECRET

BILATERAL ISSUES

UN REDUCTIONS

CONSULATES

BILATERAL REVIEW
COMMISSION (BRC)

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CONSULAR REVIEW
TALKS (CRT)

FUSION

SPACE

TRANSPORTATION

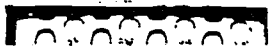
ENERGY

BASIC SCIENCES/
S&T AGREEMENT

CULTURAL EXCHANGE

PEOPLE TO PEOPLE
EXCHANGES

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ECONOMIC ISSUES

US-SOVIET TRADE

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SOVIET CLAIMS
SETTLEMENT
PROPOSAL

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US-SOVIET
MARITIME BOUNDARY

SOVIET INTEREST
IN THE GATT
(If Asked)

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SCENE SETTER
(Afternoon)

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Third Plenary: Wrapup

-- To end the meeting on an upbeat note, we may want to
arrange a brief photo op at which both sides would make
brief remarks.

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ARMS CONTROL

WRAP-UP

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PUBLIC DIPLOMACY THEMES

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BIOGRAPHIC MATERIALS

USSR

ICELAND